

Advanced Track: Technical Analysis & Valuation

3.1 The Relative Strength Index

The Relative Strength Index (RSI) is a technical indicator that measures the speed and magnitude of recent price changes to assess whether a security has been overbought or oversold. RSI is expressed on a scale from 0 to 100.

A reading above 70 is generally read as overbought, suggesting a share has risen quickly and may be due for a pullback. A reading below 30 is generally read as oversold, suggesting a share has fallen quickly and may be due for a rebound.

3.2 Discounted Cash Flow Analysis

Discounted Cash Flow (DCF) analysis is a valuation method used to estimate the intrinsic value of an investment based on its expected future cash flows. The underlying principle holds that money available in the future is worth less than the same amount available today.

An analyst projects future cash flows and discounts them back to a present value using a discount rate. Investors compare this intrinsic value estimate against the current market price to judge whether a share appears undervalued or overvalued.

3.3 Systematic and Unsystematic Risk

Systematic risk, also called market risk, refers to risk inherent to the entire market or economy, affecting nearly all securities at the same time. Examples include changes in interest rates or major political events. Diversification alone cannot remove systematic risk.

Unsystematic risk refers to risk unique to a single company or a narrow sector, such as a management scandal or a product recall. Diversification substantially reduces this type of risk.

3.4 Moving Averages

A moving average is a technical analysis tool that smooths out price data by calculating the average price of a security over a specified number of past periods. The purpose is to filter out short-term price fluctuations and reveal the underlying direction of a trend.

A rising moving average suggests an upward trend, while a falling moving average suggests a downward trend. They work best as a way to visualize trend direction alongside other analysis methods.

3.5 Market Capitalization

Market capitalization represents the total market value of a company's outstanding shares. It is calculated by multiplying the current share price by the total number of shares the company has issued.

On the NSE, market capitalization plays a direct role in determining which companies qualify for major indices. Understanding a company's market cap helps a member interpret its position in the broader economy.

Advanced Glossary & Formulas

- **Market Capitalization Formula:** Share Price multiplied by Total Shares Outstanding.
- **RSI Scale:** 0 to 100, with above 70 read as overbought and below 30 read as oversold.
- **Systematic Risk:** Risk inherent to the entire market, unable to be removed through diversification.